

[Template Guidance Note: Please delete or replace all guidance notes in grey (instructions) and blue (examples) before submission].

DAE Readiness TOR Template

The Terms of Reference (TOR) is a document that defines the scope of support required by the Direst Access Entity (DAE) [Direst Access Entity Name], through the Readiness and Preparatory Support Programme.

[Template Guidance Note: This DAE's TOR serves as a 'blueprint' or 'roadmap' for addressing its readiness needs through one or two strategically planned programmes over the medium term, in alignment with the 2024-2027 readiness strategy. If two programmes are chosen, a separate TOR must be developed for each. The TOR will be used to solicit competitive offers from pre-qualified delivery partners or to be used by DAEs in the development of Direct Access Proposals if they opt for direct access. For more details on the use of pre-qualified delivery partners and direct access, refer to the [Guide for DAEs to Access Readiness Support](#). The TOR should not exceed 15 pages in length].

1. DAE Information (1 page)

DAE Information	Name of the DAE:	<i>Please type here</i>
	Country of readiness support:	<i>Please type here</i>
	Email Address:	<i>Please type here</i>
	Additional Email Addresses to be Included in Correspondence:	<i>Please type here</i>
Accreditation Scope and Scale	Project/programme size:	
	☐ Micro (<10mn)	
	☐ Small (10-50mn)	
	☐ Medium (50-250mn)	
	☐ Large (>250mn)	
	Environmental & social risk category:	
☐ A/I-1 (high)		
☐ B/I-2 (medium)		
☐ C/I-3 (minimal or no)		
Financing modalities:		
☐ Basic		
☐ Project management		

	☐ Grant ☐ On-lending and/or blending (loans, equity and/or guarantees)
Accreditation status	Access to the readiness resources under the DAE window is provided once the accreditation decision is taken by the Board. Please indicate the following details, by clicking an appropriate box: Accreditation stage: ☐ AMA yet to be signed ☐ AMA yet to be made effective ☐ AMA is signed and effective
GCF Funding Proposals, Projects and Programmes, In portfolio and in Pipeline	Briefly describe GCF-funded proposals/projects or programmes that the DAE is conceptualising, preparing or implementing. Please type here
Overview of Similar Initiatives	<i>Please list past and current GCF readiness grants, and relevant capacity-building initiatives funded by other agencies and funds, using Annex 1.</i>

2. Access Modalities (1 page)

	<i>Please chose one option</i>	
The current TOR is a for:	☐ Direct Access by the DAE	☐ Using a pre-qualified delivery partner, based on selection of the best technical and financial offer
	<i>Please chose one option</i>	
	☐ Single DAE Support	☐ Multi-DAE Support
	[If applicable] For Multi-DAE Support, the following DAEs confirmed their interest and submitted letters of financial support/commitment. <i>Please type here</i>	

3. Statement of Objectives and Scope of Work (up to five pages)

3.1 Objectives

Tick the relevant 2024-2027 Readiness Programme objectives targeted through the current TOR, including the outcomes for DAEs.

□ Objective 1: Institutional strengthening and strategic frameworks	□ Outcome 1.3. Direct access applicants and accredited entities (DAEs) have met and maintained the accreditation standards of the GCF and strengthened their programming capacities, as evidenced by the development of GCF-funded activities
□ Objective 2: Paradigm-shifting pipeline development and implementation, guided by national priorities and GCF USP-2 targets	□ Outcome 2.2. High-quality Concept Notes (CNs) linked to approved GCF proposals for adaptation and mitigation that are aligned with the USP-2 results, including through DAEs □ Outcome 2.3. DAEs have enhanced processes and systems to effectively oversee the implementation, financial management, monitoring and reporting
□ Objective 3: Knowledge-sharing and learning	□ Outcome 3.2. Enhanced collaboration on climate change issues, evidenced by transboundary and regional cooperations/South-South cooperation

3.2 Scope of Readiness Support Required

Define the scope of the programme of activities, with reference to the objectives and outcomes.

[Template Guidance Note: Outline the requested areas of support by identifying readiness needs and capacity gaps in relation to the objectives and outcomes of the 2024-2027 readiness strategy. To assist in identifying capacity gaps and readiness needs, the optional [Guide for DAEs on Strategic Planning of Readiness Support](#)].

For example:

- (a) Guidance on integrating national climate strategies like NDCs, NAPs and Long Term Strategies (LTS) into project documents [Objective 1];
- (b) Improving compliance with Environmental and Social Safeguards (ESS), including gender and social inclusion considerations [Objective 1];
- (c) Training on stakeholder engagement frameworks and methodologies [Objective 2];
- (d) Workshops on preparing investment-grade project ideas, CNs and Funding Proposals (FPs) [Objective 2];
- (e) Enhancing the DAE's ability to manage climate projects [Objective 2]; and
- (f) Leveraging peer-to-peer learning from other regional DAEs [Objective 3].

4. Responsibilities of the Delivery Partner (if applicable) (up to two pages)

The current TOR serves for pre-qualified delivery partner(s) to undertake the following types of support:

[Template Guidance Note: List all applicable support required in relation to the scope identified in the previous section. This section applies if the TOR is used to solicit competitive offers from pre-qualified delivery partners. If the direct access option is chosen, DAEs will develop the Direct Access Proposal].

For example:

- *Tailored training and workshops: Conducting bespoke training sessions, workshops and facilitating peer-to-peer exchanges to address specific needs and challenges as outlined in the DAE TOR;*
- *Resource Provision: Supplying essential resources and materials, such as templates and checklists, to streamline processes and improve efficiency;*
- *Technical assistance and innovation: Providing technical support, including conducting relevant studies and assessments to enhance project design and implementation, facilitating technology demonstrations and pilot projects to foster innovation and scalable solutions; and*
- *Expert guidance and support: Delivering continuous knowledge transfer to DAEs while providing expert advice and support throughout the capacity-building and technical assistance phases.*

5. Results Framework and Deliverables¹

The DAE TOR should include a Results Framework, directly aligned with the three objectives of the 2024-2027 Revised Readiness Strategy and details the expected outcomes and deliverables that will be produced as part of the readiness support.

[Template Guidance Note: Please use the Results Framework template and attach it to this DAE TOR. PLEASE NOTE: Each DAE is required to select the relevant Outcome Indicator, establish the Baseline and Targets in alignment with the Revised Readiness Results Management Framework ("Revised RRMF") and its Indicator Reference Sheet. List the expected deliverables, referencing the objectives of the 2024-2027 Revised Readiness Strategy. The following table lists the indicative deliverables that could be considered in the framework. The DAE may also leave the choice of detailed deliverables to delivery partners, while specifying minimum requirements, timelines, and/or guiding principles].

For example:

Readiness Objective	Deliverables
Objective 1: Institutional	(a) Guidance on integrating national climate strategies: A set of revised project documents that clearly incorporate NDCs, NAPs and LTS, verified by an

¹ The Template Guidance Note has been updated to align with the Revised Readiness Results Management Framework (Revised RRMF) and the Financial Proposal template.

strengthening and strategic frameworks	(b)	independent expert review. This should include a detailed analysis of how these strategies have been integrated into the planning and design phases; Training on stakeholder engagement frameworks and methodologies: A training completion report with attendance records, participant feedback and a post-training evaluation showing an increase in knowledge and application of stakeholder engagement methodologies.
Objective 2: Paradigm-shifting pipeline development and implementation	(c)	Workshops on preparing investment-grade project ideas, CNs and FPs: 4-5 workshops on preparing investment-grade project ideas, CNs and FPs and/or a portfolio of investment-grade project ideas, CNs and FPs developed by DAEs post-workshop, accompanied by an evaluator's summary indicating alignment with investment criteria;
	(d)	Improving compliance or strengthening integration with GCF Environmental and Social Safeguards (ESS): A report demonstrating improved compliance measures, including specific examples of gender and social inclusion enhancements in project planning and execution. CNs/PFs with gender-responsive, ESS-specific sub-activities, relevant indicators and budget embedded, or a report demonstrating improved compliance measures, including specific examples of gender and social inclusion enhancements in project planning and execution. This should include before-and-after assessments and testimonials from relevant stakeholders;
	(e)	Enhancing the DAE's ability to develop and manage climate projects: A performance assessment report detailing improvements in project management capabilities, including case studies of projects showing enhanced efficiency and effectiveness after the capacity-building intervention;
Objective 3 Knowledge-sharing and learning	(f)	Leveraging peer-to-peer learning from other regional DAEs: A documented summary of peer-to-peer learning sessions, including key insights gained, actionable strategies developed and a follow-up plan for implementing learned practices.

6. Schedule of Deliverables-based Payments (up to two pages)

Payments should be requested based on the achievement of specific deliverables rather than input-based costs such as staff time. The deliverables should be derived from the Logical Framework (Logframe) to ensure coherence with the intended results of the readiness programme of activities. It must be clearly demonstrated, with verifiable evidence of progress, how each deliverable contributes to the achievement of outcomes and outputs as defined in the Revised RRMF.

The disbursement of payments will be linked to the completion and approval of Payment Deliverables, as discussed and agreed upon between the GCF and the DAE under the DAE Support Window, and as outlined in the financial proposal in accordance with the appropriate template².

² The Direct Access Financial Proposal template is available for DAE' direct access under the DAE Support Window. The mini-tender financial proposal template is used for the engagement of Delivery Partners from the GCF's pre-qualified pool.

[Template Guidance Note: The following example is provided for illustrative purposes only (figures DO NOT correspond with actual deliverable costs). DAEs have the flexibility to propose specific deliverables that would trigger payments, including the number of payments tailored to their unique circumstances.

*Payment Deliverables are required to be requested between **two** (2) and **four** (4) times per year, depending on the scope, duration, intended pace of implementation, and structure of deliverables. This approach is intended to support efficient processing and timely handling of payment requests. The payment schedule must be clearly reflected in the approved financial proposal].*

Example:

Readiness Objective	Payment-triggering Milestone / Deliverable		USD	Schedule
Advance	Payable upon signing the Work Order (for pre-qualified Delivery Partners (DPs)) or the grant agreement (for DAEs accessing the DAE window directly)	1	[date]	250 000
Objective 1: Institutional Strengthening and Strategic Frameworks (30 per cent)	Improving compliance with ESS, including gender and social inclusion considerations (g) Guidance on integrating national climate strategies; (h) Training on stakeholder engagement frameworks and methodologies;	2	November 2025	204 000
Objective 2: Paradigm-shifting Pipeline Development and Implementation (60 per cent)	Equipping the DAE with the skills to prepare clear, comprehensive FPs aligned with GCF investment criteria (i) 4-5 Workshops on Preparing Investment-Grade Project Ideas, CNs and FPs;	3	November 2026	204 000
	Enhancing the DAE's ability to develop and manage climate projects (j) A report demonstrating improved compliance measures, including specific examples of gender and social inclusion enhancements in project planning and execution; (k) A performance assessment report detailing improvements in project management capabilities	4	November 2027	204 000
Objective 3: Knowledge-sharing and Learning (10 per cent)	Leveraging peer-to-peer learning from other regional DAEs; and (l) A documented summary of peer-to-peer learning sessions, and a follow-up plan for implementing learned practices	5	December 2027	68 000
Annual External Audit	Provision must be made for an annual independent, third-party financial audit of readiness resource utilisation starting from the project implementation commencement date. The audit report template and TOR can be accessed online and include: a) an illustrative audit report template; and b) a sample draft audit TOR		2024, 2025, 2026, 2027	40 000

Independent Evaluation/ Impact Study	<i>Provision may be made for an independent evaluation or impact study at the conclusion of readiness activities. This study should be conducted by an external evaluator to assess the effectiveness of the readiness activities, their impact on the country's climate objectives, and their alignment with GCF outcomes. The evaluation will also capture lessons learned to inform and improve future readiness initiatives</i>	20 000
Contingency	<i>A maximum of 3 per cent of total activity budget may be suggested to allow flexibility in relation to unforeseen or unplanned expenses related to the implementation of readiness activities.</i>	10 000
	Total	1 000 000

7. Monitoring, Evaluation and Reporting³

To assess the outcomes and impact of readiness support, the GCF Secretariat requires monitoring and reporting following the Revised Results Reporting and Monitoring Framework (*Revised RRMF*). To this effect, there are the following reporting requirements and responsible parties:

Please note that there are as per the Revised RRMF, there are two levels of monitoring and reporting. The first is at the programme/project level, and the second is at the Country level. Outlined below are the monitoring and reporting requirements and responsible parties.

1. Programme Monitoring and Reporting (Output-Level)

Responsibility & Task: *[Please select the applicable option below based on the access modality used:*

- In the case of direct access, the **DAE**, or a **Framework Agreement (FWA) holder***
- In the case of indirect access, the **Delivery Partner**—selected from the GCF's pre-qualified pool through a mini-tender*

...] is responsible for monitoring the programme/project's implementation and preparing relevant reports that detail the progress of output-level results and deliverables as articulated in the programme/project logframe.

Financial Reporting: Regular financial reporting is the principal reporting mechanism under Readiness. Reports should provide an overview of funds received and expended and a comparison of planned versus actual expenditure with rationale for any variances. All financial reports must be presented in USD, in line with the approved programme budget. The detailed reporting requirements, including content and format, will be specified in the implementation-related templates.

Reporting Frequency: Annual progress reports, including financial reporting, are to be submitted to the GCF Secretariat by 31 March of each year, unless otherwise agreed to in the respective legal

³ This section has been updated to align with the Revised Readiness Results Management Framework (Revised RRMF)

agreement. Upon project closure, a completion report must be submitted within three months of completion of the activities outlined in the Country TOR.

2. Financial Audits

Responsibility: Independent, third-party auditor commissioned by *[choose appropriate] the DAE or FWA holder in case of direct access, or by the delivery partner if chosen from the GCF pre-qualified pool through mini-tenders.*

Task: Regular financial audits to ensure responsible and transparent fund management, preventing misuse or mismanagement and ensuring compliance with GCF and national requirements.

Reporting Frequency: Annual financial audit reports must be submitted to the GCF Secretariat by 31 March of each calendar year, unless an alternative frequency and deadline is agreed upon at the conclusion of the legal agreement addressing this TOR. The completion financial audit report to be submitted to the GCF Secretariat within three months of completing the activities.

3. Mid-Term Review (if the programme is four years).

This will align with the Year 2 annual progress report; a separate mid-term report is not required. Instead, a specific section in the Year 2 annual progress report will focus on the assessment of the adequacy of the initial design of the four-year programmes, the evaluation of the progress made towards achieving project objectives, and the review of the effectiveness of the delivery partner (if selected from the GCF pre-qualified pool). It will also identify any challenges encountered. The findings from this review will be used to make necessary adjustments to the project implementation plan in Years 3-4.

4. Country Monitoring and Reporting (Outcome-Level)

Responsibility & Task: Monitoring progress against outcome-level results under the Readiness programme is essential. This is required at the country level. The NDA/focal point, in their coordination capacity (or a designated agency, where applicable), is responsible for overseeing this process and preparing the required outcome-level reports. Irrespective of whether support is accessed through the Country Window or the DAE Window, the country—through the NDA/focal point or designated agency—bears ultimate responsibility for reporting to the GCF at the outcome level. To support this, DAEs or FWA holders in case of direct access, and Delivery Partners if engaged by DAEs are required to collaborate and respond to information requests from the NDA/focal point or designated agency. This ensures the effective compilation and consolidation of outcome-level reporting and evaluations at the national level.

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Reporting Frequency: Annual outcome-level monitoring reports to be submitted to the GCF Secretariat by June 1st unless otherwise agreed to in the relevant legal agreements.

5. Final Evaluation

Responsibility: An independent evaluator will be commissioned by *[choose appropriate] the DAE or a FWA holder (whichever route is chosen) in the case of direct access, or by the delivery partner if selected from the GCF pre-qualified pool through mini-tenders.*

Task: Upon completion of the project implementation period, an independent evaluation will be conducted to assess the overall impact of the readiness activities outlined in the current TOR. This evaluation will measure the contribution of these activities to the country's objectives and GCF outcomes, guided by the GCF Evaluation Policy and Standards. It will include an impact assessment and document lessons learned to inform future project planning and readiness support. If the country selects two programmes, the GCF Secretariat and the country may consult to explore the rationale and feasibility of conducting a single evaluation for both programmes.

Reporting Frequency: The final evaluation report will be submitted to the GCF Secretariat within three months of completing the readiness activities outlined in the current TOR.

8. A Note on Adaptive Management

Once the TOR is addressed through the Work Order (for pre-qualified delivery partners) or the grant agreement (for direct access), the approved readiness support may need adjustments due to emerging requirements or changing priorities. To ensure responsiveness to evolving operational contexts, flexibility is provided to revise the TOR along with the Work Order or the grant agreement. Modifications such as the reallocation of the approved budget among cost categories, resulting in a variation of more than 25 per cent, must seek prior approval from the GCF Secretariat. This includes the use of contingency budget lines, and requests must be supported by justifications acceptable to the GCF Secretariat.

No-cost extensions are strongly discouraged, as they may reflect inadequate planning or management; however, they may be considered in cases of absolute necessity to complete readiness activities, provided there is strong justification. In such instances, a formal written request by the DAE (in case of direct access) or a formal written request endorsed by the DAE (in case of a pre-qualified delivery partner), must be submitted to the Secretariat at least 90 calendar days before the initially planned end date of the readiness activities.

Annex 1: Complementarity and Coherence

[Template Guidance Note: The GCF is committed to ensuring the most effective and efficient use of readiness resources. To achieve this, it is essential to account for relevant readiness activities undertaken not only by the GCF but also by other actors in the global climate finance arena, including other climate funds such as the Adaptation Fund (AF), the Global Environment Facility (GEF), and the Climate Investment Funds (CIF); bilateral and multilateral development banks; international financial institutions; and other relevant platforms and initiatives. Each TOR and readiness programme of support should include a complementarity matrix, reflecting a screening and mapping exercise to identify relevant initiatives by other key players in the target geography, including past and present GCF programmes. This ensures that there is no duplication and that complementarity and synergy between the GCF and other relevant efforts are coordinated and promoted].

This annex provides a brief summary of past and present capacity-building efforts supported through the GCF Readiness Programme, as well as other capacity-building initiatives funded or commissioned by entities other than the GCF.

GCF Readiness Activities

Title & Reference Number	Start and End Dates	Key Outcomes & Results
<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>

[Template Guidance Note: Insert additional rows as needed.]

Other Capacity-Building Initiatives Funded or Commissioned by Parties Other Than GCF

Title	Funding Agency	Start and End Dates	Main Objectives
<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>	<i>[Please type here]</i>

[Template Guidance Note: Insert additional rows as needed.]